

expensive one. A friend of mine who knew JC well had once mentioned that JC's watch cost Rs 15 lakh.

JC claimed to be more of a value investor than a trader in stocks. But most people in the market felt it was the other way round.

'I prefer companies where the managements don't try to suck up to you just because they are keen that you buy their shares,' he said, as we got chatting. 'Though not a foolproof method, I see overfriendliness as a sign that they crave a higher market value for their shares.' He said his portfolio comprised mostly blue chips and some well-managed companies that were undervalued at the moment, but held great potential.

'The blue chips are my nest egg. I never touch them. They are for the future generations. I have ensured that at least six generations of the family can get by without ever having to work. I decide on the maximum loss that I can take on my trading positions and then play within that range. I am like a kid at a video game parlour. I play for as long as the coins in my pocket last. Once the coins are over, I get off the machine.

'Till 1996, I always used to buy first and then sell. But the bear market showed me that there was good money to be made by doing exactly the opposite too. I began to short-sell at every opportunity, and though a few bets went awry, I made good money. Short-selling is not everybody's cup of tea, but I find it more challenging. Most of the time I am long on the market. For some reason, it is always my short positions that get talked about.'

'Of course they would be,' I said. 'The aggression with which you go after some of the stocks almost gives the impression that you expect the company to be out of business shortly. I have known some promoters who had trouble getting sleep at night because of your raids.'

JC grinned, and I could see that he seemed pleased with that remark.

'You exaggerate, Lala, but I try to distinguish between stocks that are overvalued because the market is convinced about their potential, and stocks that are overvalued because the promoters are supporting the stock price. The second category gets its comeuppance sooner than later. One adverse bit of news, or a sudden change in market sentiment for the worse, and these puffed-up stocks collapse like a house of cards. Of course, one has to be patient enough to wait for that break. In the interim, the promoter and operator will push up the stock and you will have to take short-term